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Unit 9

RECTIFICATION OF ERRORS

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Learning Objectives

To enable the students to

- Understand the meaning and types of errors
- Analyse the steps involved in locating the errors
- Analyse the errors and rectify the errors at different stages

Points to recall

The following points are to be recalled before learning rectification of errors:

- The golden rules of accounting used in journalising
- Journalising of transactions
- Posting of entries from journal to ledger
- Preparation of cash book
- Preparation of other subsidiary books
- Procedure for posting from subsidiary books to ledger
- Procedure for balancing of ledger accounts
- Various accounts that normally show debit and credit balances
- Preparation of trial balance

Key terms to know

- Errors of commission
- Errors of omission
- Errors of principle
- Compensating errors
- Suspense account
- Rectification